

CREDIT OPINION

28 July 2025

Update



Send Your Feedback

RATINGS

ADB

	Rating	Outlook
Long-term Issuer	Aaa	STA
Short-term Issuer	P-1	--

Contacts

Grace Lim +65.6311.2663
 Analyst
 grace.lim@moodys.com

Amos Koh +65.6311.2609
 Ratings Associate
 amos.koh@moodys.com

Gene Fang +65.6398.8311
 Associate Managing Director
 gene.fang@moodys.com

Marie Diron +44.20.7772.1968
 MD-Sovereign Risk
 marie.diron@moodys.com

CLIENT SERVICES

Americas 1-212-553-1653
 Asia Pacific 852-3551-3077
 Japan 81-3-5408-4100
 EMEA 44-20-7772-5454

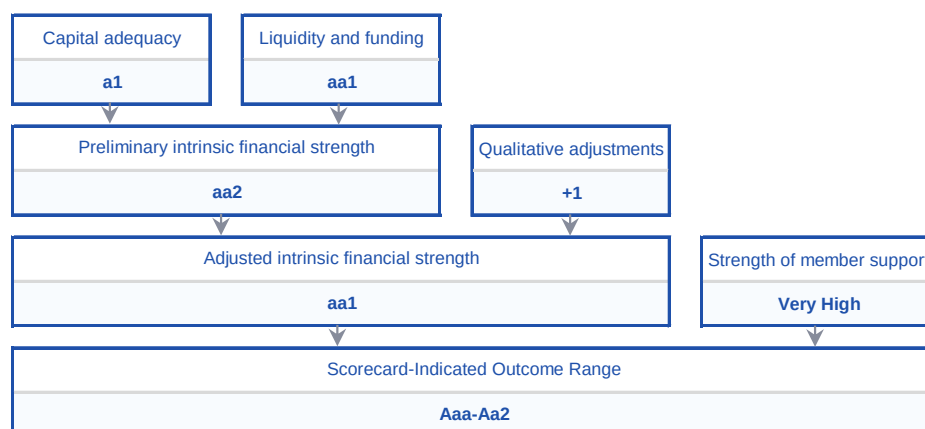
Asian Development Bank – Aaa stable

Update following rating affirmation, outlook unchanged

Summary

The credit profile of [Asian Development Bank](#) (ADB) reflects its strong capital adequacy, on the back of moderate leverage, high credit quality of its development assets and very strong asset performance. ADB's liquidity and funding position is also very strong, with very solid access to global funding markets and ample liquidity buffers that support its capacity to promptly repay its growing financial obligations resulting from the ongoing expansion of its development activities, even in downside scenarios. The bank also enjoys very high shareholder support. In addition, we expect the very high quality of ADB's management to continue to underpin prudent risk management and financial policies, even as the bank grows its development assets further.

Exhibit 1

ADB's credit profile is determined by three factors


Source: Moody's Ratings

Credit strengths

- » Large capital base relative to assets and strong access to funding markets
- » Demonstrated preferred creditor status and robust asset performance
- » Sound financial management

Credit challenges

- » A concentrated loan portfolio, especially among top 10 borrowers
- » Exposure to riskier borrowers given mandate with concessional lending

Rating outlook

The stable outlook reflects our view that ADB will continue to maintain its strong financial metrics, even as the bank increases its lending to enhance its development impact, in line with shareholders' demands. We expect the bank to continue implementing reforms that limit the impact of higher lending on leverage and continue to prioritize strong risk management practices. We also expect ADB's shareholders will continue to strongly support the bank, reflecting the bank's importance in facilitating economic development in Asia and the Pacific.

Factors that could lead to a downgrade

An upgrade of ADB's ratings is not possible as its Aaa ratings are at the highest level of our rating scale.

Downward pressure on ADB's Aaa ratings could arise from evidence of diminished capacity or willingness from its shareholders to support the bank. A substantial deterioration in the bank's capital adequacy would also put downward pressure on its rating. This could come from a rapid expansion in leverage combined with evidence of declining lending standards, leading to a material decline in asset quality. Significant sovereign credit stress among its borrowing members that weighs materially on its asset quality, would also put downward pressure on the rating. This could come from material external shocks that affects many of ADB's borrowing members, such as an oil price shock or global trade shocks.

Key indicators

Exhibit 2

Asian Development Bank	2019	2020	2021	2022	2023	2024
Total Assets (USD million)	221,866	271,741	282,084	290,658	301,607	314,602
Leverage Ratio (%) [1]	2.3	2.6	2.8	2.8	2.9	3.0
Weighted-Average Borrower Rating (WABR)	Ba3	Ba3	Ba3	B1	B2	B1
Sovereign Exposures / Loans & Guarantees (%)	92.7	92.5	92.8	93.9	94.7	94.8
Equity Investments / DRA (%)	1.4	0.9	0.9	0.9	1.0	1.0
Non-Performing Assets / DRA (%)	0.1	0.2	0.2	0.5	0.5	0.4
Return on Equity (%)	3.0	2.6	1.4	4.1	1.7	2.9
Availability of Liquid Resources Ratio (ALR, %) [2]	94.3	89.1	98.3	102.0	98.6	84.5
Weighted-Average Shareholder Rating (WASR)	A3	A3	A3	A3	A3	A3
Callable Capital / Gross Debt (%)	132.9	112.1	105.1	101.5	94.6	90.0

[1] Development-related assets (DRA) + Treasury assets rated A2 or lower / Usable equity

[2] Discounted liquid assets / Projected net cash outflows during upcoming 18 months

Source: Moody's Ratings

This publication does not announce a credit rating action. For any credit ratings referenced in this publication, please see the issuer/deal page on <https://ratings.moody's.com> for the most updated credit rating action information and rating history.

Profile

ADB was established in 1966 by 31 countries to reduce poverty across Asia. This focus has slowly evolved into achieving poverty reduction through inclusive, environmentally sustainable growth and regional integration. Membership has expanded to 69 countries, 50 of which are from APAC, with [Israel](#) (Baa1 negative) joining as the bank's 69th member and 19th nonregional member in September 2024. [Japan](#) (A1 stable) and the [US](#) (Aa1 stable) are the bank's largest shareholders, each accounting for a 15.6% stake of total subscribed capital, followed by [China](#) (6.4%, A1 negative), [India](#) (6.3%, Baa3 stable), [Australia](#) (5.8%, Aaa stable) and [Indonesia](#) (5.4%, Baa2 stable). China is also ADB's second-largest sovereign borrower, accounting for 10.5% of development-related assets (DRA), after India (15.2%).

ADB provides financial assistance to its developing member countries in the form of loans, grants, guarantees, equity investments and arranges cofinancing. It also offers technical assistance, policy dialogue and advisory services. The bank's operations are financed out of its ordinary capital resources (OCR), special funds and trust funds. The bank does not aim to maximize profit, although it earns a significant net income, most of which is typically reallocated to ordinary reserves. Our rating of ADB is concerned solely with its OCR because ADB's borrowings, together with equity, can only be used to fund OCR lending and investment activities, and the bank's general operations.

Detailed credit considerations

Our determination of a supranational's rating is based on three rating factors: capital adequacy, liquidity and funding, and strength of member support. For multilateral development banks (MDBs), the first two factors combine to form the assessment of intrinsic financial strength, as shown on the cover page graphic. Additional factors can affect the intrinsic financial strength, such as risks stemming from the operating environment or the quality of management. The strength of member support is then incorporated to yield a rating range. For more information, please see our [Supranational Rating Methodology](#).

FACTOR 1: Capital adequacy score: a1

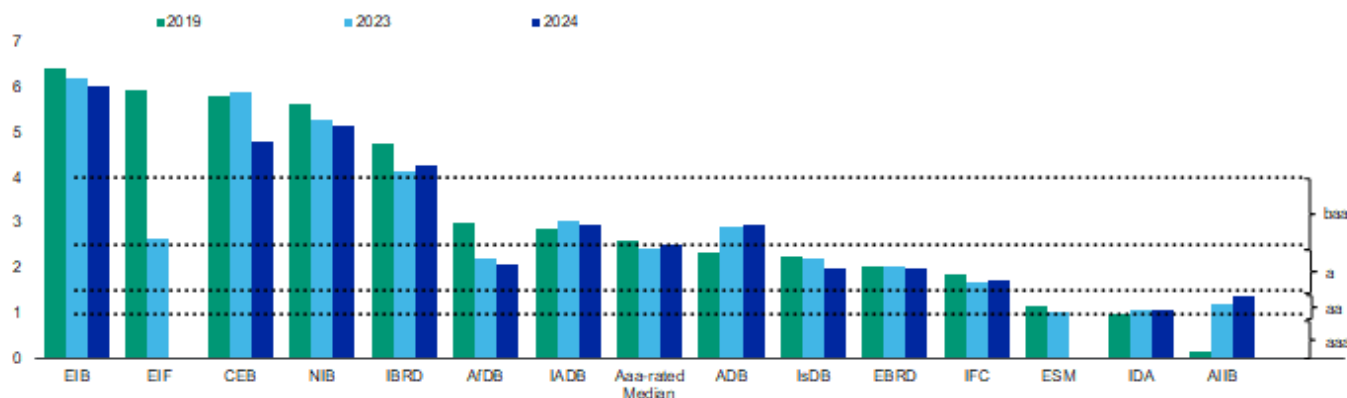
ADB's "baa1" capital adequacy score balances its moderate leverage, strong asset quality and high development asset credit quality supported by its preferred creditor status that has remained intact through cycles, implementation of credit enhancements and balance sheet optimization measures, and its consistently strong asset performance.

ADB's capital position remains in line with peers', even as it expands its loan portfolio

ADB has continued to increase its lending. The bank's development-related assets (DRA) growth was 3.8% in 2024. At the end of 2024, its leverage ratio – which compares the size of its DRA and treasury assets rated A3 and below with its usable equity – ticked up to 2.97x in 2024, from 2.91x in 2023 and 2.34x in 2019. Despite this, ADB's leverage remains in line with that of Aaa-rated peers. Overall, we assess the bank's capital position at "baa1" (see Exhibit 3).

Exhibit 3

ADB's leverage remains in line with Aaa-rated median (Total assets/usable equity)



2024 value not shown where unavailable.

Source: Banks' financial statements and Moody's Ratings

Demand for ADB's financing remained firm in 2024. In 2024, ADB committed \$24.3 billion in loans, grants, equity investments, guarantees and technical assistance, up 3% from the \$23.6 billion committed in 2023. To bolster the response to climate change across the APAC region, ADB committed climate financing was \$11.1 billion in 2024, up around 13% from the \$9.8 billion committed in 2023, taking its total climate financing to \$41.9 billion between 2019-24.

ADB's lending operations will continue to be underpinned by its goals under Strategy 2030, which places greater focus on supporting its members' commitments to meeting the United Nations' Sustainable Development Goals and Paris Agreement goals. For example, the bank has an ambition to reach \$100 billion in cumulative climate financing for its members between 2019 and 2030. In tandem, ADB aims to have at least three-quarters of its committed operations support climate change adaptation and/or mitigation, by 2030 (on a three-year rolling average basis). From 2022 to 2024, the share of ADB operations supporting climate action has already reached 91%, surpassing the target for the second year in a row.

We expect ADB's leverage ratio to continue increasing, as the bank steps up its efforts to increase lending in line with the recommendations outlined in the G20 July 2022 capital adequacy frameworks report. However, we expect its leverage ratio to remain broadly in line with the median of similarly rated peers, as highly-rated MDBs are also stepping up its lending.

The ADB has communicated its intentions to increase lending, with sharper increases in financing commitments over the next 2–3 years, followed by a period of more gradual growth. In February 2025, ADB approved its Capital Utilization Plan (CUP) to scale up its operations by 50% over the next decade from \$24 billion in 2024 to over \$36 billion by 2034.

While ADB continues to expand its operations, we do not expect bank's loans to grow significantly to the extent that it materially weakens its capital position. ADB has some capacity to raise leverage (see Exhibit 3, above). Other Aaa-rated peers such as the [European Investment Bank](#) (EIB, Aaa stable), the [Nordic Investment Bank](#) (NIB, Aaa stable), the [Council of Europe Development Bank](#) (CEB, Aaa stable), and the [International Bank for Reconstruction and Development](#) (IBRD, Aaa stable) have higher leverage ratios.

In addition, we expect the bank's comprehensive risk management approach will contain the growth of its leverage ratio. ADB's conservative financial management limits the total amount of lending it can extend. For example, to address this concentration risk, ADB introduced a framework for sovereign exposure limits in 2023 as part of its update to its capital adequacy framework. This includes the concept of risk appetite, above which a member country can continue borrowing but must pay a surcharge, and risk tolerance, above which ADB can no longer pursue new sovereign lending to the country.

ADB's development asset credit quality remains very strong, underpinned by its preferred creditor status and a diversified portfolio

ADB's development asset credit quality (DACQ) is assessed at "a".

The bank's weighted average borrower rating (WABR) is "B1", reflecting the bank's focus on lending largely to developing member countries. ADB's moderate borrower quality is counterbalanced by significant credit support from the bank's preferred creditor status, high diversification of its loan portfolio across sectors and sub-geographies and its low share of equity investment.

Our assessment of the bank's DACQ also accounts for ADB's increasing use of credit protection instruments and continued prudent risk management, which will mitigate the bank's rising leverage. As of May 2025, ADB has secured \$2.28 billion in first-loss guarantees from highly-rated shareholders under its IF-CAP programme, providing very strong credit protection. By leveraging the guarantees 4.5 times, ADB will release about \$10.3 billion of dedicated climate financing for its sovereign borrowers.

ADB also benefits from its preferred creditor status in its sovereign lending, which accounts for about 96% of the bank's total loan portfolio as of 31 December 2024. While there have been instances of payment delays, ADB's regular lending operations have never experienced any loss of principal from its sovereign exposure. Since the bank was founded, debt servicing on its loans has not been interrupted by market defaults such as in the [Philippines](#) (Baa2 stable) in 1983, Pakistan in 1999 and [Sri Lanka](#) (Caa1 stable) in 2022. We expect ADB's preferred credit status to also be recognized should there be any sovereign debt restructurings involving ADB borrowers.

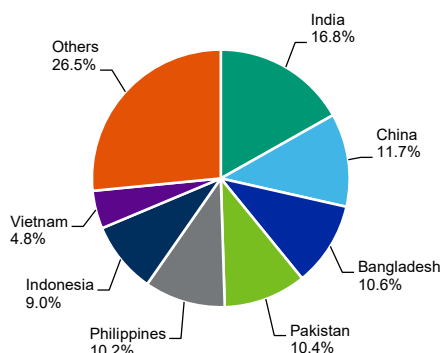
The credit quality of ADB's loan portfolio also benefits from good diversification across countries and sectors, and low exposure to higher-risk equity investments. While ADB's assets are highly concentrated among its top 10 borrowers, they are fairly evenly spread out among those top borrowers and there is also diversification across sectors (see Exhibits 4 and 5). In addition, ADB loan portfolio has also become more diversified in recent years. The bank's top ten exposures account for 77.6% of its DRA in 2024, down from 84% in 2017, reflecting the impact of ADB's more diversified lending to other sovereigns and the ADF-OCR merger.¹

To better manage the country concentration risk of its portfolio, ADB has in place a policy framework for exchanges of sovereign exposures among multilateral development banks. As of December 2024, ADB's exposure exchange agreements with other MDBs amounted to \$6 billion, equivalent to 4.0% of ADB's sovereign loan operations in 2024.

ADB has three sovereign exposure exchange agreements (EEAs) with the [Inter-American Development Bank](#) (IADB, Aaa stable). The first agreement (\$1 billion) was inked in December 2020, the second (\$1.5 billion) in December 2022, and the third (\$1.5 billion) in October 2024. ADB also has two EEAs with the [African Development Bank](#) (AfDB, Aaa stable). The first (\$1 billion) was signed in July 2023, and the second (\$1 billion) in October 2024.

Exhibit 4

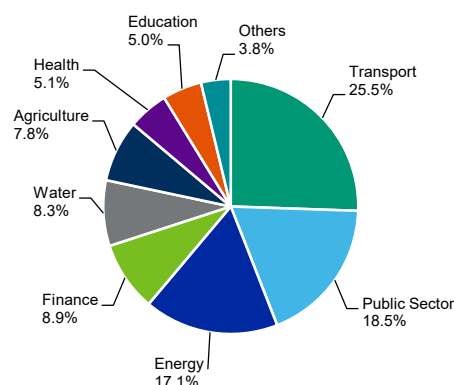
ADB's portfolio is concentrated among its largest borrowers ...
 (% of outstanding exposure by country, 2024)



Sources: ADB and Moody's Ratings

Exhibit 5

... but is fairly diversified by sector
 (% of total exposure by sector, 2024)



Sources: ADB and Moody's Ratings

Asset performance remained very strong, despite a minor deterioration in asset quality

ADB's "aaa" subfactor score for asset performance reflects its strong history of maintaining nonperforming loans (NPLs) at low levels even as it ramped up its development activity, reflecting ADB's strong risk management framework.

At the end of 2024, non-performing assets (NPA), which includes equity impairments and non-performing loans (overdue by 90 days or more), amounted to \$643 million, of which \$486 million was due to one sovereign borrower (Afghanistan). The rest was due to nonsovereign borrowers. NPA as a share of development assets declined slightly from 0.46% in 2023 to 0.39% in 2024, which remains largely in line with the median of Aaa-rated MDBs. We expect the bank's prudent risk management standards to keep its NPAs contained.

FACTOR 2: Liquidity and funding score: aa1

ADB's "aa1" liquidity and funding score incorporates its very strong and long track record of access to market funding, and sufficiently large liquidity available for debt servicing and operational requirements. ADB has been increasingly active in issuing green, blue and other thematic bonds, capitalizing on and catalyzing interest in sustainable investment.

ADB's large liquid assets provide ample buffer against financial stress

ADB holds ample liquid resources to cover loan disbursements, debt servicing and other recurring cash outflow. The bank's available liquid resources² were 84.5% of its projected 18-month net cash outflow as of year-end 2024. Against this backdrop, we score ADB's liquidity resources subfactor at "a3".

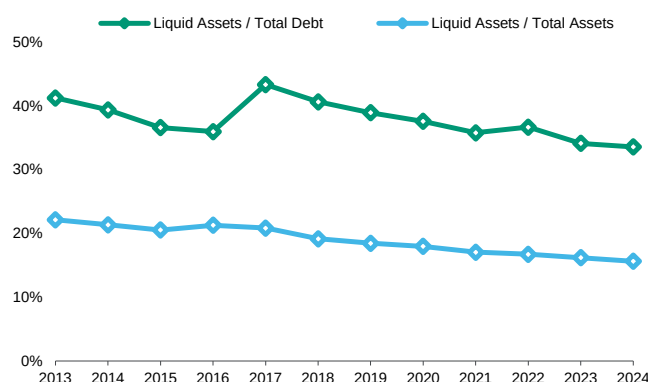
ADB's liquidity policy requires the bank to maintain a prudential minimum liquidity of 100% of one-year net cash requirement, including debt-servicing and operational outlays. Its liquidity levels and cash requirements are monitored on a regular basis, including a quarterly review by the board. We expect the bank to continue to adhere to its liquidity policy and other risk management guidelines related to treasury management, which will support its ability to maintain high availability of liquid resources. The bank typically holds liquidity exceeding its prudential minimum liquidity requirement.

In addition, ADB's liquidity portfolio generates investment income that bolsters its reserves. As of year-end 2024, 63% of ADB's liquidity portfolio was in highly rated government, government-related and government-guaranteed debt instruments. Another 19% was held in cash and cash equivalents, while the remainder are invested in highly rated corporate bonds.

ADB's liquid assets remain significant and ample to cover its obligations, although its liquid assets have been on a moderate decline since 2017, driven by a faster expansion in the bank's borrowings to support its larger operations (see Exhibit 6). In 2024, ADB's liquid assets were at 33.6% of its total debt, 15.6% of total assets and 172.3% of its short term debt and currently maturing long-term debt.

Exhibit 6

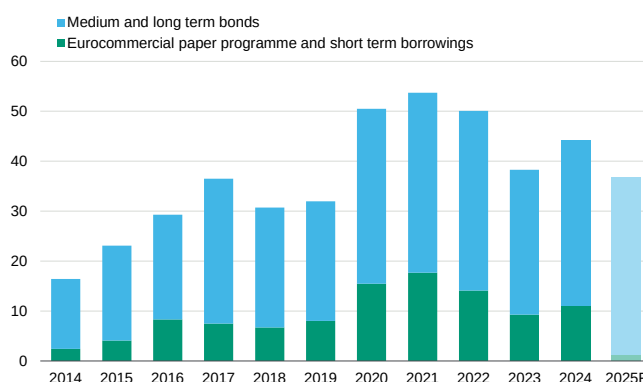
ADB's liquid assets remain ample despite declining slightly in recent years (%)



Sources: ADB and Moody's Ratings

Exhibit 7

Increased borrowings are mainly medium to long term, corresponding to its development projects (\$ billions)



Sources: ADB and Moody's Ratings

Very strong market access supports ADB's increasing funding needs

Our “aaa” score for ADB's quality and structure of funding reflects the bank's very strong access to market funding and a well-diversified global investor base, in terms of both geography and type of investor. Demand for the bank's securities is bolstered by the Basel Committee's classification of ADB securities as a high-quality liquid asset with zero risk weight.

ADB meets its borrowing needs mainly through bond issuances in the international capital markets in each of the major trading currencies. The bank also raises a small portion of its funding needs from less globally integrated markets — such as [Kazakhstan](#) (Baa1 stable), [Azerbaijan](#) (Baa3 positive) and [Mongolia](#) (B2 stable) — to help deepen and develop capital markets in those jurisdictions. ADB has also continued to increase its local-currency funding to help match borrowers' needs. As such, 65% of the bank's borrowings (before swaps) as of end 2024 were in dollars, down slightly from 67% in 2023, with the remainder denominated in 33 other currencies. However, 92% of its borrowings in 2024 were effectively exposed to dollars on an after-swap basis to currency hedge against its loans.

In 2024, ADB raised \$33.1 billion in medium- and long-term bonds via 149 transactions in 22 currencies, and \$11.0 billion of short-term borrowings and eurocommercial paper (see Exhibit 7 above). For 2025, the bank expects to issue around \$35-36 billion in medium- and long-term bonds to meet members' continued growth in demand for ADB's products. Year-to-date June 2025, issuances (of all tenors) including eurocommercial paper totaled \$32.5 billion.

ADB's funding program also incorporates green bonds and thematic issuances, which come in the form of biodiversity and nature, water, health, education and gender; the bank also expanded its green bond framework in 2021 to include blue bonds, which support investment in ocean conservation. As of 30 June 2025, outstanding thematic, green and blue bonds totaled \$25.4 billion, up from \$24.9 billion in June 2024.

Qualitative adjustments to intrinsic financial strength

Operating environment

We do not apply a negative adjustment for ADB's operating environment. Global trade uncertainty and slowing global growth increase risks for ADB's weighted average borrower rating, considering Asia's high exposure to global trade. However, we do not expect a significant deterioration in ADB's asset performance, given its comprehensive risk management framework and long track record of solid governance.

Quality of management

We applied a one-notch upward adjustment to ADB's intrinsic financial strength on account of its strong quality of management, consistent with assessments for other large, well-established MDBs, including the [European Bank for Reconstruction and Development](#) (EBRD, Aaa stable), IADB and the IBRD.

The upward adjustment reflects ADB's comprehensive policy framework and strong risk management culture, including its adoption of global best practices and adherence to its internal policy requirements, which have contributed to the bank's long history of strong capital adequacy, robust asset performance and unfettered access to markets, among other credit strengths. Key policies are reviewed regularly: for example, the bank has a triennial review cycle of its capital adequacy, adopting the capital utilization ratio as the basis for measuring a range of significant risk exposures, compared with just capturing credit and market risks, as was the case with the previously used equity-to-loan ratio. The updated framework provides a more dynamic approach to measuring risks.

In addition, ADB has adopted several new measures, demonstrating the willingness and ability of its management to devise innovative solutions to optimize its balance sheet, corresponding to recommendations under the G-20 independent review of MDB's capital adequacy frameworks. This includes increasing use of exposure exchange agreements with peer MDBs for its sovereign exposures, commercial insurance for its non-sovereign portfolio and first-loss guarantees.

Governance of ADB's development activities is bolstered by its accountability mechanism, which provides a forum for people affected by projects and other stakeholders, such as the NGO sector and civil society, to voice concerns and report alleged noncompliance with the bank's operational policies and procedures. ADB's periodic review of its organizational effectiveness, culminating in the implementation of its long-term strategy through 2030, also demonstrates its adaptability to the changing regional landscape and the consequent evolution of its members' financing needs.

FACTOR 3: Strength of member support score: Very High

We assess ADB's strength of member support as "Very High", which takes into account an "a3" assessment of members' ability to support, an "aaa" assessment of contractual support among members and a "Very High" assessment of noncontractual support among members.

ADB's members' ability to support is very high

Our "a3" ability to support assessment is based on the members' weighted average shareholder rating (WASR) of A3. The WASR has remained broadly stable over the years, even through several shocks in recent years, reflecting the strength and stability of ADB's shareholders.

Members' willingness to support is very strong

We assess ADB's contractual willingness to support at "aaa". ADB's ratio of callable capital to total gross debt (our key metric to assess members' contractual willingness to support an MDB) declined to 90.0% in 2024 from 94.6% in 2023. The decline was driven by an increase in ADB's total gross debt, rather than lower callable capital. The bank's borrowings increased substantially in line with the expansion of its development portfolio. Nevertheless, we assess that the callable capital buffer remains significant relative to outstanding debt, although slightly below the Aaa-rated median (see Exhibit 9).

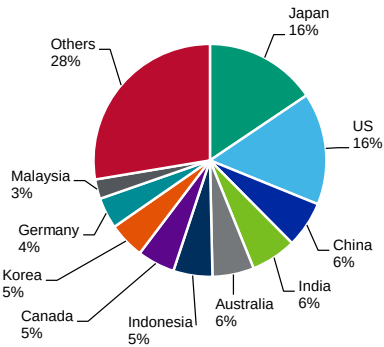
We also apply a one notch positive adjustment to reflect ADB's [strong enforcement mechanism](#) of contractual support. In April 2024, [ADB published a report on their callable capital](#), which set out the legal and governance framework and the process for making a capital call, reverse stress test analysis on how a situation could emerge in which the bank needs to make a call, and details on its shareholders' processes for responding to a capital call, including the share of callable capital that would be available on short notice. ADB's clear and transparent process for responding to a capital call and having ample share of callable capital that would be available on short notice drives our assessment for strong enforcement mechanism of contractual support.

We also assess members' noncontractual willingness to support for ADB as "Very High," based in part on the bank's history of successful capital increases — there had been five general capital increases since ADB's founding. In addition, the bank has strong international standing, which indicates important political links and reputational risk, suggesting that members will very likely provide support to ADB in times of need.

The bank's periodic replenishment of its special funds, such as the Asian Development Fund (ADF), also underscores ADB's members' very strong willingness of support. In May 2024, ADB announced that a \$5 billion replenishment for ADF 14 which will support grant operations during 2025-2028. This replenishment is about 22% higher than the \$4.1 billion available in ADF 13. In addition, ADB's mission to facilitate economic development in APAC remains an important part of shareholders' overarching foreign policy goals. This is especially so for its largest shareholders, Japan and the US, which continue their strong support for ADB, including institutional reforms such as the introduction of a new long-term strategy.

Exhibit 8

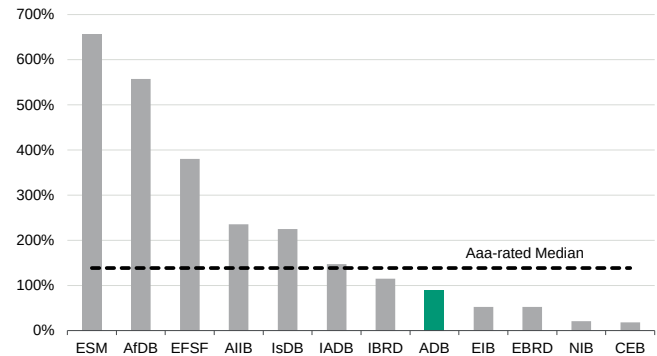
Japan and the US are ADB's largest shareholders
(Subscribed capital, %, 2024)



Sources: ADB and Moody's Ratings

Exhibit 9

Despite slightly weaker than peers', ADB's callable coverage of debt is ample
(Callable capital/total gross debt, 2024)



Sources: ADB and Moody's Ratings

ESG considerations

Asian Development Bank's ESG credit impact score is CIS-1

Exhibit 10

ESG credit impact score

CIS-1

Score



Negative impact

Positive impact

ESG considerations have a positive impact on the current rating which is higher than it would have been in the absence of ESG considerations.

Source: Moody's Ratings

ADB's **CIS-1** credit impact score indicates that we assess that the overall influence from the bank's ESG attributes on its rating is positive and material. ADB has a S-1 issuer profile score for social risks. While ADB's exposure to environmental risks is quite high, this is counterbalanced by the bank's very strong governance and very high member support.

Exhibit 11

ESG issuer profile scores



Source: Moody's Ratings

Environmental

ADB's **E-3** issuer profile score for environmental risk reflects its exposure through its borrowing members, many of whom have significant physical climate risks, which could impact asset quality. Nevertheless, the bank's incorporation of climate change considerations and environmental safeguards in all of its development-related activities provides some mitigation, especially given its plans to scale up its climate-related financing efforts to 75% of total committed operations by 2030.

Social

ADB's **S-1** issuer profile score for social risks reflects its very strong relations with borrowers given its track record as a development partner, as evidenced by the gains of many of its borrowing members in alleviating poverty and graduating to advanced economy status; more recently, the bank played an important role in funding member countries' responses to the coronavirus pandemic, including vaccination support. Its very strong responsible production is manifested in the ongoing evolution of its mission to incorporate differentiated approaches to divergent demographic and societal trends in Asia, while also extensively utilizing independent evaluation and comprehensive accountability mechanisms that help to ensure beneficial impact of its development-related activities to stakeholders.

Governance

ADB's **G-1** issuer profile score for governance is driven by its very solid track record of governance and risk management, which have helped to sustain robust operations and financial performance through periods of stress among its portfolio of borrowers.

ESG Issuer Profile Scores and Credit Impact Scores for the rated entity/transaction are available on Moody's.com. In order to view the latest scores, please click [here](#) to go to the landing page for the entity/transaction on MDC and view the ESG Scores section.

For more detail on our approach to incorporating environmental, social and governance factors in credit analysis, please see our [cross-sector rating methodology](#).

Recent developments

ADB Capital Utilization Plan points to an expansion of the bank's operations by 50% over the next decade

ADB's leverage will continue increasing as it raises lending to enhance its development impact in line with shareholders' demands. We expect ADB's increasing use of credit protection instruments and continued prudent risk management will mitigate rising leverage.

In February 2025, ADB published its Capital Utilization Plan (CUP), which outlines a pathway for increasing the bank's annual financing commitments from \$24 billion in 2024 to exceed \$36 billion by 2034. The CUP builds on the previous review on the Capital Adequacy Framework (CAF) in September 2023.

The CUP is an indicative plan to guide ADB's future programming, and its implementation will be integrated into the bank's regular planning processes. Progress against the plan will be assessed through the bank's annual work program and budget framework exercises.

The CUP envisions a sharp increase in ADB's lending commitments, supported by an expansion in staff and technical assistance resources, followed by a period of steady and sustained growth. The bank expects non-sovereign (NSO) operations to grow faster at about 8% per year, with NSO commitments rising from 20% to 27% of total commitments by 2034. ADB expects its sovereign operations to grow at an annual growth rate of about 4% per year up until 2034, with higher growth rates in 2025-2027. The sovereign portfolio will continue to account for a very large share of ADB's loan portfolio.

Increasing use of credit insurance for risk transfers to third parties for ADB non-sovereign portfolio

In May 2025, ADB signed an agreement with ten leading global insurers to mobilize up to \$2.75 billion of private capital to support ADB's lending. This agreement followed after the previous initial three-year partnership with five leading global insurers to mobilize up to \$1 billion in cofinancing capacity signed in August 2022.

The partnership will help derisk a portion of ADB's loans to sustainable infrastructure projects, thereby allowing the bank to transfer credit risk from its portfolio to insurers' balance sheets, thereby freeing up capital and increasing its lending capacity.

The Master Framework Agreement for Sustainable Infrastructure facilitates the growth of the private sector in the region and will allow the bank to increase its lending capacity to projects through the use of credit insurance. The program streamlines the underwriting and approval process for credit risk transfers, enabling ADB to mobilize cofinancing capacity more efficiently.

Rating methodology and scorecard factors: Asian Development Bank - Aaa stable

Factor / Subfactor	Metric	Initial score	Adjusted score	Assigned score
Factor 1: Capital adequacy (50%)			a1	a1
Capital position (20%)			baa1	
	Leverage ratio	baa1		
	Trend	0		
	Impact of profit and loss on leverage	0		
Development asset credit quality (10%)			a	
	DACQ assessment	a		
	Trend	0		
Asset performance (20%)			aaa	
	Non-performing assets	aaa		
	Trend	0		
	Excessive development asset growth	0		
Factor 2: Liquidity and funding (50%)			aa1	aa1
Liquid resources (10%)			a3	
	Availability of liquid resources	a3		
	Trend in coverage outflow	0		
	Access to extraordinary liquidity	0		
Quality of funding (40%)			aaa	
Preliminary intrinsic financial strength				aa2
Other adjustments				+1
Operating environment		0		
Quality of management		+1		
Adjusted intrinsic financial strength				aa1
Factor 3: Strength of member support (+3,+2,+1,0)			Very High	Very High
Ability to support (50%)			A3	
	Weighted average shareholder rating	A3		
Willingness to support (50%)				
	Contractual support (25%)	aa1	aaa	
	Strong enforcement mechanism	+1		
	Payment enhancements	0		
	Non-contractual support (25%)		Very High	
Scorecard-Indicated Outcome Range				Aaa-Aa2
Rating Assigned				Aaa

Note: Our ratings are forward-looking and reflect our expectations for future financial and operating performance. However, historical results are helpful in understanding patterns and trends of an issuer's performance as well as for peer comparisons. Additional considerations that may not be captured when historical metrics are used in the scorecard may be reflected in differences between the adjusted and assigned factor scores. Furthermore, in our ratings we often incorporate directional views of risks and mitigants in a qualitative way. For more information please see our Multilateral Development Banks and Other Supranational Entities

Source: Moody's Ratings

Related websites and information sources

- » [Moody's Supranational web page](#)
- » [Moody's Sovereign and supranational rating list](#)
- » [ADB web page](#)

MOODY'S has provided links or references to third party World Wide Websites or URLs ("Links or References") solely for your convenience in locating related information and services. The websites reached through these Links or References have not necessarily been reviewed by MOODY'S, and are maintained by a third party over which MOODY'S exercises no control. Accordingly, MOODY'S expressly disclaims any responsibility or liability for the content, the accuracy of the information, and/or quality of products or services provided by or advertised on any third party web site accessed via a Link or Reference. Moreover, a Link or Reference does not imply an endorsement of any third party, any website, or the products or services provided by any third party.

Endnotes

- 1 In January 2017, ADB transferred the lending operations of the ADF — a special fund that had previously conducted the bank's concessional funding activities, similar to the [International Development Association's](#) (IDA, Aaa stable) role within the World Bank Group — and certain other assets to OCR. The merger aimed to enhance ADB's financial capacity in a sustainable manner through more efficient and effective management of its capital resources. ADB continues to provide concessional lending through OCR on the same terms and conditions as were provided to ADF countries before the merger. The ADF has been retained as a grant-only operation.
- 2 We include cash and cash equivalents, treasury assets rated Aa3 or higher, and committed unrestricted credit lines with prime lenders with a maturity greater than two years.

© 2025 Moody's Corporation, Moody's Investors Service, Inc., Moody's Analytics, Inc. and/or their licensors and affiliates (collectively, "MOODY'S"). All rights reserved.

CREDIT RATINGS ISSUED BY MOODY'S CREDIT RATINGS AFFILIATES ARE THEIR CURRENT OPINIONS OF THE RELATIVE FUTURE CREDIT RISK OF ENTITIES, CREDIT COMMITMENTS, OR DEBT OR DEBT-LIKE SECURITIES, AND MATERIALS, PRODUCTS, SERVICES AND INFORMATION PUBLISHED OR OTHERWISE MADE AVAILABLE BY MOODY'S (COLLECTIVELY, "MATERIALS") MAY INCLUDE SUCH CURRENT OPINIONS. MOODY'S DEFINES CREDIT RISK AS THE RISK THAT AN ENTITY MAY NOT MEET ITS CONTRACTUAL FINANCIAL OBLIGATIONS AS THEY COME DUE AND ANY ESTIMATED FINANCIAL LOSS IN THE EVENT OF DEFAULT OR IMPAIRMENT. SEE APPLICABLE MOODY'S RATING SYMBOLS AND DEFINITIONS PUBLICATION FOR INFORMATION ON THE TYPES OF CONTRACTUAL FINANCIAL OBLIGATIONS ADDRESSED BY MOODY'S CREDIT RATINGS. CREDIT RATINGS DO NOT ADDRESS ANY OTHER RISK, INCLUDING BUT NOT LIMITED TO: LIQUIDITY RISK, MARKET VALUE RISK, OR PRICE VOLATILITY. CREDIT RATINGS, NON-CREDIT ASSESSMENTS ("ASSESSMENTS"), AND OTHER OPINIONS INCLUDED IN MOODY'S MATERIALS ARE NOT STATEMENTS OF CURRENT OR HISTORICAL FACT. MOODY'S MATERIALS MAY ALSO INCLUDE QUANTITATIVE MODEL-BASED ESTIMATES OF CREDIT RISK AND RELATED OPINIONS OR COMMENTARY PUBLISHED BY MOODY'S ANALYTICS, INC. AND/OR ITS AFFILIATES. MOODY'S CREDIT RATINGS, ASSESSMENTS, OTHER OPINIONS AND MATERIALS DO NOT CONSTITUTE OR PROVIDE INVESTMENT OR FINANCIAL ADVICE, AND MOODY'S CREDIT RATINGS, ASSESSMENTS, OTHER OPINIONS AND MATERIALS ARE NOT AND DO NOT PROVIDE RECOMMENDATIONS TO PURCHASE, SELL, OR HOLD PARTICULAR SECURITIES. MOODY'S CREDIT RATINGS, ASSESSMENTS, OTHER OPINIONS AND MATERIALS DO NOT COMMENT ON THE SUITABILITY OF AN INVESTMENT FOR ANY PARTICULAR INVESTOR. MOODY'S ISSUES ITS CREDIT RATINGS, ASSESSMENTS AND OTHER OPINIONS AND PUBLISHES OR OTHERWISE MAKES AVAILABLE ITS MATERIALS WITH THE EXPECTATION AND UNDERSTANDING THAT EACH INVESTOR WILL, WITH DUE CARE, MAKE ITS OWN STUDY AND EVALUATION OF EACH SECURITY THAT IS UNDER CONSIDERATION FOR PURCHASE, HOLDING, OR SALE.

MOODY'S CREDIT RATINGS, ASSESSMENTS, OTHER OPINIONS, AND MATERIALS ARE NOT INTENDED FOR USE BY RETAIL INVESTORS AND IT WOULD BE RECKLESS AND INAPPROPRIATE FOR RETAIL INVESTORS TO USE MOODY'S CREDIT RATINGS, ASSESSMENTS, OTHER OPINIONS OR MATERIALS WHEN MAKING AN INVESTMENT DECISION. IF IN DOUBT YOU SHOULD CONTACT YOUR FINANCIAL OR OTHER PROFESSIONAL ADVISER.

ALL INFORMATION CONTAINED HEREIN IS PROTECTED BY LAW, INCLUDING BUT NOT LIMITED TO, COPYRIGHT LAW, AND NONE OF SUCH INFORMATION MAY BE COPIED OR OTHERWISE REPRODUCED, REPACKAGED, FURTHER TRANSMITTED, TRANSFERRED, DISSEMINATED, REDISTRIBUTED OR RESOLD, OR STORED FOR SUBSEQUENT USE FOR ANY SUCH PURPOSE, IN WHOLE OR IN PART, IN ANY FORM OR MANNER OR BY ANY MEANS WHATSOEVER, BY ANY PERSON WITHOUT MOODY'S PRIOR WRITTEN CONSENT. FOR CLARITY, NO INFORMATION CONTAINED HEREIN MAY BE USED TO DEVELOP, IMPROVE, TRAIN OR RETRAIN ANY SOFTWARE PROGRAM OR DATABASE, INCLUDING, BUT NOT LIMITED TO, FOR ANY ARTIFICIAL INTELLIGENCE, MACHINE LEARNING OR NATURAL LANGUAGE PROCESSING SOFTWARE, ALGORITHM, METHODOLOGY AND/OR MODEL.

MOODY'S CREDIT RATINGS, ASSESSMENTS, OTHER OPINIONS AND MATERIALS ARE NOT INTENDED FOR USE BY ANY PERSON AS A BENCHMARK AS THAT TERM IS DEFINED FOR REGULATORY PURPOSES AND MUST NOT BE USED IN ANY WAY THAT COULD RESULT IN THEM BEING CONSIDERED A BENCHMARK.

All information contained herein is obtained by MOODY'S from sources believed by it to be accurate and reliable. Because of the possibility of human or mechanical error as well as other factors, however, all information contained herein is provided "AS IS" without warranty of any kind. MOODY'S adopts all necessary measures so that the information it uses in assigning a credit rating is of sufficient quality and from sources MOODY'S considers to be reliable including, when appropriate, independent third-party sources. However, MOODY'S is not an auditor and cannot in every instance independently verify or validate information received in the credit rating process or in preparing its Materials.

To the extent permitted by law, MOODY'S and its directors, officers, employees, agents, representatives, licensors and suppliers disclaim liability to any person or entity for any indirect, special, consequential, or incidental losses or damages whatsoever arising from or in connection with the information contained herein or the use of or inability to use any such information, even if MOODY'S or any of its directors, officers, employees, agents, representatives, licensors or suppliers is advised in advance of the possibility of such losses or damages, including but not limited to: (a) any loss of present or prospective profits or (b) any loss or damage arising where the relevant financial instrument is not the subject of a particular credit rating assigned by MOODY'S.

To the extent permitted by law, MOODY'S and its directors, officers, employees, agents, representatives, licensors and suppliers disclaim liability for any direct or compensatory losses or damages caused to any person or entity, including but not limited to by any negligence (but excluding fraud, willful misconduct or any other type of liability that, for the avoidance of doubt, by law cannot be excluded) on the part of, or any contingency within or beyond the control of, MOODY'S or any of its directors, officers, employees, agents, representatives, licensors or suppliers, arising from or in connection with the information contained herein or the use of or inability to use any such information.

NO WARRANTY, EXPRESS OR IMPLIED, AS TO THE ACCURACY, TIMELINESS, COMPLETENESS, MERCHANTABILITY OR FITNESS FOR ANY PARTICULAR PURPOSE OF ANY CREDIT RATING, ASSESSMENT, OTHER OPINION OR INFORMATION IS GIVEN OR MADE BY MOODY'S IN ANY FORM OR MANNER WHATSOEVER.

Moody's Investors Service, Inc., a wholly-owned credit rating agency subsidiary of Moody's Corporation ("MCO"), hereby discloses that most issuers of debt securities (including corporate and municipal bonds, debentures, notes and commercial paper) and preferred stock rated by Moody's Investors Service, Inc. have, prior to assignment of any credit rating, agreed to pay Moody's Investors Service, Inc. for credit ratings opinions and services rendered by it. MCO and all MCO entities that issue ratings under the "Moody's Ratings" brand name ("Moody's Ratings"), also maintain policies and procedures to address the independence of Moody's Ratings' credit ratings and credit rating processes. Information regarding certain affiliations that may exist between directors of MCO and rated entities, and between entities who hold credit ratings from Moody's Investors Service, Inc. and have also publicly reported to the SEC an ownership interest in MCO of more than 5%, is posted annually at ir.moody.com under the heading "Investor Relations — Corporate Governance — Charter and Governance Documents - Director and Shareholder Affiliation Policy."

Moody's SF Japan K.K., Moody's Local AR Agente de Calificación de Riesgo S.A., Moody's Local BR Agência de Classificação de Risco LTDA, Moody's Local MX S.A. de C.V., I.C.V., Moody's Local PE Clasificadora de Riesgo S.A., and Moody's Local PA Clasificadora de Riesgo S.A. (collectively, the "Moody's Non-NRSRO CRAs") are all indirectly wholly-owned credit rating agency subsidiaries of MCO. None of the Moody's Non-NRSRO CRAs is a Nationally Recognized Statistical Rating Organization.

Additional terms for Australia only: Any publication into Australia of this document is pursuant to the Australian Financial Services License of MOODY'S affiliate, Moody's Investors Service Pty Limited ABN 61 003 399 657 AFSL 336969 and/or Moody's Analytics Australia Pty Ltd ABN 94 105 136 972 AFSL 383569 (as applicable). This document is intended to be provided only to "wholesale clients" within the meaning of section 761G of the Corporations Act 2001. By continuing to access this document from within Australia, you represent to MOODY'S that you are, or are accessing the document as a representative of, a "wholesale client" and that neither you nor the entity you represent will directly or indirectly disseminate this document or its contents to "retail clients" within the meaning of section 761G of the Corporations Act 2001. MOODY'S credit rating is an opinion as to the creditworthiness of a debt obligation of the issuer, not on the equity securities of the issuer or any form of security that is available to retail investors.

Additional terms for India only: Moody's credit ratings, Assessments, other opinions and Materials are not intended to be and shall not be relied upon or used by any users located in India in relation to securities listed or proposed to be listed on Indian stock exchanges.

Additional terms with respect to Second Party Opinions and Net Zero Assessments (as defined in Moody's Ratings Rating Symbols and Definitions): Please note that neither a Second Party Opinion ("SPO") nor a Net Zero Assessment ("NZA") is a "credit rating". The issuance of SPOs and NZAs is not a regulated activity in many jurisdictions, including Singapore. JAPAN: In Japan, development and provision of SPOs and NZAs fall under the category of "Ancillary Businesses", not "Credit Rating Business", and are not subject to the regulations applicable to "Credit Rating Business" under the Financial Instruments and Exchange Act of Japan and its relevant regulation. PRC: Any SPO: (1) does not constitute a PRC Green Bond Assessment as defined under any relevant PRC laws or regulations; (2) cannot be included in any registration statement, offering circular, prospectus or any other documents submitted to the PRC regulatory authorities or otherwise used to satisfy any PRC regulatory disclosure requirement; and (3) cannot be used within the PRC for any regulatory purpose or for any other purpose which is not permitted under relevant PRC laws or regulations. For the purposes of this disclaimer, "PRC" refers to the mainland of the People's Republic of China, excluding Hong Kong, Macau and Taiwan.

CLIENT SERVICES

Americas	1-212-553-1653
Asia Pacific	852-3551-3077
Japan	81-3-5408-4100
EMEA	44-20-7772-5454